On the other hand, if the requirements with respect to pre-trade transparency bring about only a marginal increase in pre-trade transparency, the result could be that there would be no substantive change from the *status quo*, including no benefits of alleviating informational asymmetries, increasing price competition, and supplying better executions beyond the changes in response to the other requirements of the Dodd-Frank Act. This actual impact would depend on the degree of pre-trade transparency required and the characteristics of the trading market. The rules are intended to provide for greater pre-trade transparency than currently exists without requiring pre-trade transparency in a manner that would cause participants to avoid providing liquidity on SBSEFs.

There would be transaction costs, such as fees and connectivity costs, that trading counterparties would incur in executing or trading SBS subject to the trade execution requirement on SBSEFs. Likewise, although unregulated trading venues exist in today's OTC derivatives market, the Commission does not have information regarding what, if any, fees and connectivity costs are associated with transacting on these unregulated trading venues. In the Proposing Release, the Commission invited comment on the likely fees and costs associated with transacting on SBSEFs as well as fees and costs associated with transacting on unregulated trading venues that exist in today's OTC derivatives market. Commenters did not provide estimates of likely fees and costs associated with transacting on SBSEFs or fees and costs associated with transacting on unregulated trading venues.

As discussed in section XVII.B, prospective SBSEF registrants are likely to be CFTC-registered SEFs that are active in the index CDS market. Because the final rules are harmonized as closely as practicable with analogous CFTC rules for SEFs, unless a reason exists to do otherwise in a particular area, much of the systems, policies, and procedures that are used to

support SEF trading also could be used to support SBSEF trading. The prospective SBSEF registrants likely would incur marginal costs associated with listing SBS products on their venues[919] and making limited changes to their systems, policies, and procedures to comply with SEC rules that differ slightly from analogous CFTC rules. The Commission estimates the one-time costs associated with such changes to systems, policies, and procedures would range between $26,393 and $1,583,550 per SBSEF and between $131,965 and $7,917,750 in the aggregate, depending on the changes needed. These cost ranges reflect significant uncertainties about the extent of changes that different registrants might need. The annual ongoing costs of maintaining the technology (e.g., ensuring any necessary technological updates and improvements are made) and applying the technology to ongoing compliance requirements are estimated to be in the range of $1,055,700 to $2,111,400 per SBSEF and in the range of $5,278,500 to $10,557,000 in the aggregate.[920]

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919 *See infra* section XVII.C.3(c) (discussing the costs that these entities might incur to list SBS products).

920 In the Proposing Release, the Commission estimated that the one-time costs associated with changes to systems, policies, and procedures would range between $25,000 and $1.5 million per SBSEF, depending on the changes needed. The Commission estimated the annual ongoing costs to be between $1 million and $2 million. *See* Proposing Release, *supra note* 1, 87 FR at 28953. Adjusting for inflation in 2022, the Commission now estimates that the one-time costs associated with changes to systems, policies, and procedures would range between $25,000 x 1.0557 (CPI inflation adjustment for 2022) = $26,392.50 or approximately $26,393 and $1.5 million x 1.0557 (CPI inflation adjustment for 2022) = $1,583,550 per SBSEF, depending on the changes needed. In the aggregate, the one-time costs associated with changes to systems, policies, and procedures would range between $26,393 x 5 SBSEFs = $131,965 and $1,583,550 x 5 SBSEFs = $7,917,750, depending on the changes needed. Adjusting for inflation in 2022, the Commission now estimates the annual ongoing costs per SBSEF to be between $1 million x 1.0557 (CPI inflation adjustment for 2022) = $1,055,700 and $2 million x 1.0557 (CPI inflation adjustment for 2022) = $2,111,400. In the aggregate, the annual ongoing costs would be between $1,055,700 x 5 SBSEFs = $5,278,500 and $2,111,400 x 5 SBSEFs = $10,557,000. One commenter states that any potential differences between SEC rules and analogous CFTC rules would require SBSEF registrants to devote resources toward assessing the potential gaps and consequences of regulatory divergence. *See* Bloomberg Letter, *supra* note 18, at 10. Such costs would be part of the one-time costs associated with changes to systems, policies, and procedures. It is possible that SBSEF registrants might incur additional costs toward assessing the potential gaps and consequences of regulatory divergence. In that case, the one-time costs associated with changes to systems, policies, and procedures could be higher than the Commission's estimates.

Several commenters agree that the Commission's general approach to finalizing requirements relating to SBS execution would mitigate costs for registered SBSEFs.[921]

One commenter is concerned that Rule 816 as proposed would permit SBSEFs to make an SBS available to trade even absent objective evidence of a sufficiently liquid trading market.[922] According to the commenter, requiring SBS with insufficient liquidity to be traded via an order book or an RFQ system would raise a significant risk of revealing investment advisers' sensitive portfolio management strategies.[923] Such information leakage could lead to front-running of funds' trades and to other abusive trading practices that would negatively affect the pricing of SBS and of other related instruments, resulting in higher investment costs for investment advisers' clients, including funds and their investors.[924] The Commission agrees that an inappropriate MAT determination such as the one described by the commenter could result in higher investment costs for investment advisers' clients by increasing the risk of information leakage, front-running, and other abusive trading practices. Regulation SE as adopted would address concerns related to inappropriate MAT determinations. As discussed in section V.F.2, the Commission will have the opportunity to review all SBSEF MAT determinations, whether they are self-certified or voluntarily filed for Commission approval, to consider whether those determinations are adequately supported by evidence and consistent with the SEA and the rules thereunder, including the six factors to be considered for MAT determinations under Rule

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921 *See supra* section XVII.C and note 867.

922 *See* ICI Letter, *supra* note 18, at 5.

923 *See id.* at 6.

924 *Id.*

816(b).[925] In the absence of such evidence, the Commission can decline to approve or can stay and then object to a MAT petition, which will ultimately allow the Commission to prevent an inappropriate MAT determination from taking effect.

One commenter states that requiring a fund to disclose its trading interest in an SBS of a large notional size to multiple participants—via an order book or an RFQ system—would enable opportunistic market participants to piece together information about the fund's holdings or investment strategy and lead to front-running of those potential trades.[926] The Commission agrees that requiring a fund to disclose its trading interest in an SBS of a large notional size to multiple participants via an order book or an RFQ system could impose costs associated with information leakage and front-running. However, these costs have to be considered in light of the benefits of increased pre-trade transparency: increased price competition, increased price efficiency, improved liquidity, and reduced transaction costs.[927] By adopting two execution methods for Required Transactions (limit order book and RFQ-to-3), market participants have flexibility in the degree of pre-trade transparency they wish to employ, which should diminish potential concerns associated with the exposure of pre-trade trading interest. Further, a market participant that wishes to engage in Permitted Transactions of a large notional size can choose any method of execution that is offered by an SBSEF and is not restricted to using a limit order book or RFQ-to-3. For these transactions, any costs associated with information leakage and front-running likely would not be different from those costs that would prevail under the baseline.

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925 These six factors are: (1) whether there are ready and willing buyers and sellers; (2) the frequency or size of transactions; (3) the trading volume; (4) the number and types of market participants; (5) the bid/ask spread; or (6) the usual number of resting firm or indicative bids and offers. *See* Rule 816(b).

926 *See* ICI Letter, *supra* note 18, at 11.

927 *See supra* section XVII.C.1 (discussing the benefits of increased pre-trade transparency).

One commenter states that Proposed Rule 834 would have the effect of prohibiting certain SBSEF participants from having common ownership and control as the SBSEF. The commenter is concerned that the proposed rule would prevent prospective SBSEFs that are CFTC-registered SEFs from onboarding their affiliated introducing brokers because doing so would exceed the ownership and voting caps set forth in Proposed Rule 834(b).[928] Another commenter is concerned that the rule's 20% ownership cap would limit access to capital and act as barriers to entry for SBSEF and SBS exchanges.[929] Observing that the CFTC did not adopt rules analogous to Proposed Rule 834, the commenters suggest that the proposed rule, if adopted, would be a fundamental departure from the CFTC's rules, minimizing many of the other benefits of a harmonized regime, and thwart efforts to smoothly implement Regulation SE.[930] One commenter further states that some CFTC registered SEFs, which are prospective SBSEFs, might have to review their ownership and governance structure and, possibly, amend their organization.[931]

In response to these concerns, the Commission is adopting Rule 834(b)(3), which provides an exemption from the ownership and voting caps for an SBSEFs that has mitigated the potential conflict of interest with respect to compliance with the rules of the SBSEF by entering into an agreement with a registered futures association or a national securities association for the provision of regulatory services that encompass, at a minimum, real-time monitoring under Rule 819(d)(5) and investigations and investigation reports under Rule 819(d)(6). This exemption should address concerns regarding certain SBSEF participants not being able to have common

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928 *See* WMBAA Letter, *supra* note 18, at 2.

929 *See* SIFMA AMG Letter, *supra* note 18, at 12.

930 *See id.*; WMBAA Letter, *supra* note 18, at 3.

931 *See* WMBAA Letter, *supra* note 18, at 3.

ownership and control as the SBSEF (provided these appropriate conditions are met); the onboarding of affiliated introducing brokers by certain prospective SBSEFs; access to capital and entry barriers; and potential disruption or delays to the implementation of Regulation SE.

With respect to the Daily Market Data Report required by Proposed Rule 825, one commenter states that the Daily Market Data Report would require inappropriate and detrimental disclosures that would undermine the Commission's goal of fostering a competitive and efficient market for SBS trading. This commenter states that there are significant differences in the information required to be reported under the SEC and CFTC regimes. The commenter states that Proposed Rule 825(c)(1) increases the burden on SBSEFs compared to SEFs by requiring additional information regarding sale and offer prices, as well as qualitative descriptions of certain data that are reported.[932]

This commenter further states that the Commission's proposal does not address why the CFTC's approach would not be acceptable in the context of SBSEFs and does not justify the increased operational costs to SBSEFs (which will ultimately be passed on to members). The commenter also states that the Commission has not considered the costs and potential for duplicative requirements in the context of Regulation SBSR reporting requirements. The commenter concludes that, in sum, the Daily Market Data Report is overly granular and duplicative, is unnecessary for transparency purposes, and could negatively impact the market and market participants. The commenter states that the Commission should therefore remove the Daily Market Data Report in favor of harmonizing with the analogous CFTC rules and that, if the Commission does not eliminate the Daily Market Data Report requirement altogether, it should adopt additional masking protections for trades, specifically with respect to block trades.

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[932] *See* MFA Letter, *supra* note 18, at 13.

Failure to do so, the commenter states, would cause inappropriate and detrimental disclosures and would "negate the benefits that the rule purports to achieve by exempting block trades from clearing [sic] requirements."[933]

As discussed in Section IV.H, many of the reporting requirements of the Daily Market Data Report under Proposed Rule 825 are closely aligned with the data required to be disclosed on a daily basis by SEFs under § 16.01 of the CFTC's rule. Further, the Commission is modifying Proposed Rule 825 to resolve the two differences between the proposed Daily Market Data Report and the existing CFTC reporting scheme under § 16.01: (1) that the Daily Market Data Report would include the number of block trades executed[934]; and (2) that the Daily Market Data Report would be posted on the SBSEF's website no later than *the beginning of trading* on the next business day,[935] while the information required by § 16.01 must be made public no later than the next business day.[936]

Rule 825(c)(1), as adopted, does not require the disclosure of the number of block trades.[937] Further, Rule 825(c)(4), as adopted, requires the publication of the Daily Market Data Report "as soon as reasonably practicable on the next business day after the day to which the information pertains, but in no event later than 7 a.m. on the next business day." With these modifications, the data called for by Rule 825(c)(1) is consistent with the required daily

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933 *See id.* Regulation SE does not address any exemption from clearing requirements.

934 *See* Proposed Rule 825(c)(1)(iii).

935 *See* Proposed Rule 825(c)(4).

936 *See* 17 CFR 16.01(e). The Commission views the requirement to keep each Daily Market Data Report on an SBSEF's website for one year, *see* Proposed Rule 825(c)(5), as a small additional burden for an SBSEF and does not view it as a significant departure from harmonization with the CFTC's SEF regime.

937 The Commission is also, pursuant to its determination not to adopt a definition of "block trade" at this time, deleting the words "including block trades but" from the text of paragraph (c)(i) and (ii) of Rule 825, and is adding the words "after such time as the Commission adopts a definition of 'block trade'" to paragraph (c)(iii) of Rule 825 (formerly paragraph (c)(iv) of Proposed Rule 825) which will have no effect on the requirement as compared to the proposed rule. *See supra* section VI.H.

disclosures for SEFs. These modifications should help address concerns regarding increased burden on SBSEFs compared to SEFs, increased operational costs to SBSEFs, the Daily Market Data Report being overly granular, and negative impact on the market and market participants. The fact that Rule 825(c)(1), as adopted, does not require the disclosure of the number of block trades would obviate the need to adopt masking protections for block trades and address the commenter's concern about inappropriate and detrimental disclosures that would adversely affect competition and efficiency in the SBS market. To the extent that the disclosure of the number of block trades prompts market prices to move against the dealers that facilitated such block trades thereby raising their hedging costs, dealers could raise the price of liquidity provision (e.g., by widening the bid-ask spread) charged to market participants, increase transaction costs, and reduce the efficiency of SBS trading. To the extent that the cost of transacting block trades increases, market participants may choose to exit the SBS market and trade alternative securities. This in turn could reduce participation and competition in the SBS market. Rule 825(c)(1), by not requiring the disclosure of the number of block trades, should mitigate these potential adverse effects on competition and efficiency in the SBS market.

With respect to the concern that the Daily Market Data Report is duplicative of Regulation SBSR and unnecessary for transparency purposes, the former performs a function that is different from the reporting and public dissemination of SBS transactions required by Regulation SBSR.[938] The Daily Market Data Report would consolidate trading information by venue and provide useful summary information about SBS trading on an SBSEF for all market participants without requiring them to incur costs to collect, process, and aggregate information from individual reports of SBS transactions that are executed on an SBSEF and publicly

[938] *See* 17 CFR 242.900 *et seq*.

disseminated pursuant to Regulation SBSR. In addition, the Daily Market Data Report provides information regarding trading on an SBSEF that is not available in the SBS transaction reports that are publicly disseminated pursuant to Regulation SBSR. Among other things, the Daily Market Data Report would provide the opening and closing price; the price that is used for settlement purposes, if different from the closing price; the lowest price of a sale or offer, whichever is lower; the highest price of a sale or bid, whichever is higher; the method used by the SBSEF in determining nominal prices and settlement prices; and a description of the manner in which discretion is used to determine the opening and/or closing ranges or the settlement prices.[939] Further, because the transaction reports for credit SBS are permitted to be capped at a notional volume of $5 million,[940] market participants would be unable to glean the information provided by the Daily Market Data Report—which would publish daily total notional volumes based on uncapped transaction amounts—from the individual reports of SBS transactions under Regulation SBSR. Thus, the Daily Market Data Report would provide market participants, at little to no cost, with information about pricing and trading volume for SBS on SBSEFs that goes beyond the information that could be obtained from SBS transaction reports that are publicly disseminated pursuant to Regulation SBSR.

Several commenters are concerned that Proposed Rule 832(b)(3), which would apply the trade execution requirement to ANE transactions, could create complexities,[941] prompt market participants and platforms to develop costly infrastructure to avoid engaging in ANE

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939 *See* Rules 825(c)(1)(iv) through (vi) and 825(c)(2).

940 *See* 2019 Cross-Border Adopting Release, *supra* note 218, 85 FR at 6347 (providing no-action relief with respect to Rule 902 of Regulation SBSR, 17 CFR 242.902, for reports of credit SBS transaction disseminated with a capped size of $5 million).

941 *See* SIFMA AMG Letter, *supra* note 18, at 11.

transactions,[942] confuse market participants and platforms and reduce market participation.[943] One commenter asks the Commission to be mindful of whether CFTC-registered SEFs would be forced to change their rules in order comply with the new proposed SBSEF rules.[944] With respect to the concern that CFTC-registered SEFs might be forced to change their rules because of the Commission's ANE approach for SBSEFs, foreign trading venues that have already received exemptive relief from the CFTC for swaps trading where robust regulatory regimes may exist with requirements comparable to those applicable to SBS transactions in the United States might seek and obtain exemptive relief under Rule 833(b). If exempted under Rule 833(b), trading of SBS on such foreign trading venues would not require CFTC-registered SEFs to change their rules.[945] Similarly, for SBS transactions that the Commission exempts from the trade execution requirement based on an application submitted under Rule 833(b), the concerns expressed by commenters regarding complexities and costs would no longer be applicable. The effect of such exemptions would likely result in SBS transactions in foreign jurisdictions with what may be considered robust regulatory regimes to be exempt from the Commission's trade execution requirement and, in practice, have similar treatment of transactions on applicable foreign trading venues as the CFTC. This should address concerns about confusion among market participants and platforms in foreign jurisdictions; the regulatory certainty provided by the exemptions should help to mitigate any adverse effects on market participation and obviate the need to develop costly infrastructure to avoid engaging in ANE transactions.

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942 *See* ISDA-SIFMA Letter, *supra* note 18, at 12.

943 *See* Tradeweb Letter, *supra* note 18, at 4–5.

944 *See* SIFMA AMG Letter, *supra* note 18, at 11.

945 *See supra* notes 624–627 and accompanying text.